

14. (1.25 points)

a. (0.5 point)

A claims person, faced with insufficient and possibly conflicting information about a potentially serious claim, may tend to reserve to “expectation,” which is most likely interpreted by the claims person as the mode of the probability distribution.

Briefly describe two ways this practice can make reinsurance reserving difficult.

b. (0.75 point)

Briefly describe three reasons heterogeneous exposures assumed by a reinsurance company can make reinsurance reserving difficult.

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EXAM 7 SPRING 2018 SAMPLE ANSWERS AND EXAMINER'S REPORT

SPRING 2018 EXAM 7, QUESTION 14	
TOTAL POINT VALUE: 1.25	LEARNING OBJECTIVE(S): A11, A12
SAMPLE ANSWERS	
Part a: 0.5 point	
<u>Sample 1</u> • The mode is likely to be low due to most claims being small. This would increase the report lag to the reinsurer. • Loss (and ALAE) will be consistently under reserved for serious claims. <u>Sample 2</u> • Reinsurers generally do not hear about a claim until it pierces the reinsurance layer, so if mode is reserved, then report lag for this potentially serious claim will likely be longer. • Reinsurance claims tend to have persistent upward development, so reserving to the mode is likely not reasonable for an initial reserve.	
Part b: 0.75 point	
<u>Sample 1</u> • Industry statistics are not very useful • Difficult to aggregate data to increase credibility • Data coding and IT issues <u>Sample 2</u> • Traditional reserve methods require homogenous groups of data. You need alternate methods since credibility becomes an issue when splitting reinsurance data. • Coding and IT systems can get backed up and have processing errors due to many different requirements/handling of heterogeneous data. • Industry data is not very useful due to heterogeneity of reinsurer's data.	
EXAMINER'S REPORT	
Candidates were expected to know basic background on reinsurance reserving, including specific challenges.	
Part a	
Candidates were expected to cite the two challenges that arose for a reinsurer due to modal reserving by the primary insurer. Common mistakes included: • Stating other problems with reinsurance reserving unrelated to modal reserving (e.g. high reserve to surplus ratio, difficulty convincing management to book the high reserve amount). • Stating the same challenge (as described by Patrik) twice (e.g. persistent upward development <i>and</i> ALAE under reserved).	

EXAM 7 SPRING 2018 SAMPLE ANSWERS AND EXAMINER'S REPORT

Part b

Candidates were expected to cite the three challenges in reinsurance reserving related to the heterogeneity of exposures.

Common mistakes included:

- Restating the question as an answer (i.e. “having heterogeneous exposures makes reinsurance reserving difficult”).
- Simply defining heterogeneity without explaining why it was challenging for reinsurance reserving (e.g. simply stating that the reporting patterns/mix of business/etc. were different amongst heterogeneous exposures without explaining the challenge).
- Stating other problems with reinsurance reserving unrelated to heterogeneity (e.g. high reserve to surplus ratio).
- Stating the same challenge (as described by Patrik) twice (e.g. industry data is hard to find *and* Schedule P is too highly aggregated).